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BREAKWAVE ADVISORS

Tanker Shipping

November 5, 2024

Breakwave Tanker Futures Index:	1,204	VLCC Middle East-Asia Spot Rates:	12.35	Short-term Indicators:	
↑ 30D: -16.8%		↑ 30D: -15.1%		Momentum:	Negative
↑ YTD: -0.8%		↓ YTD: -6.7%		Sentiment:	Neutral
↑ YOY: -17.1%		↑ YOY: -36.8%		Fundamentals:	Neutral

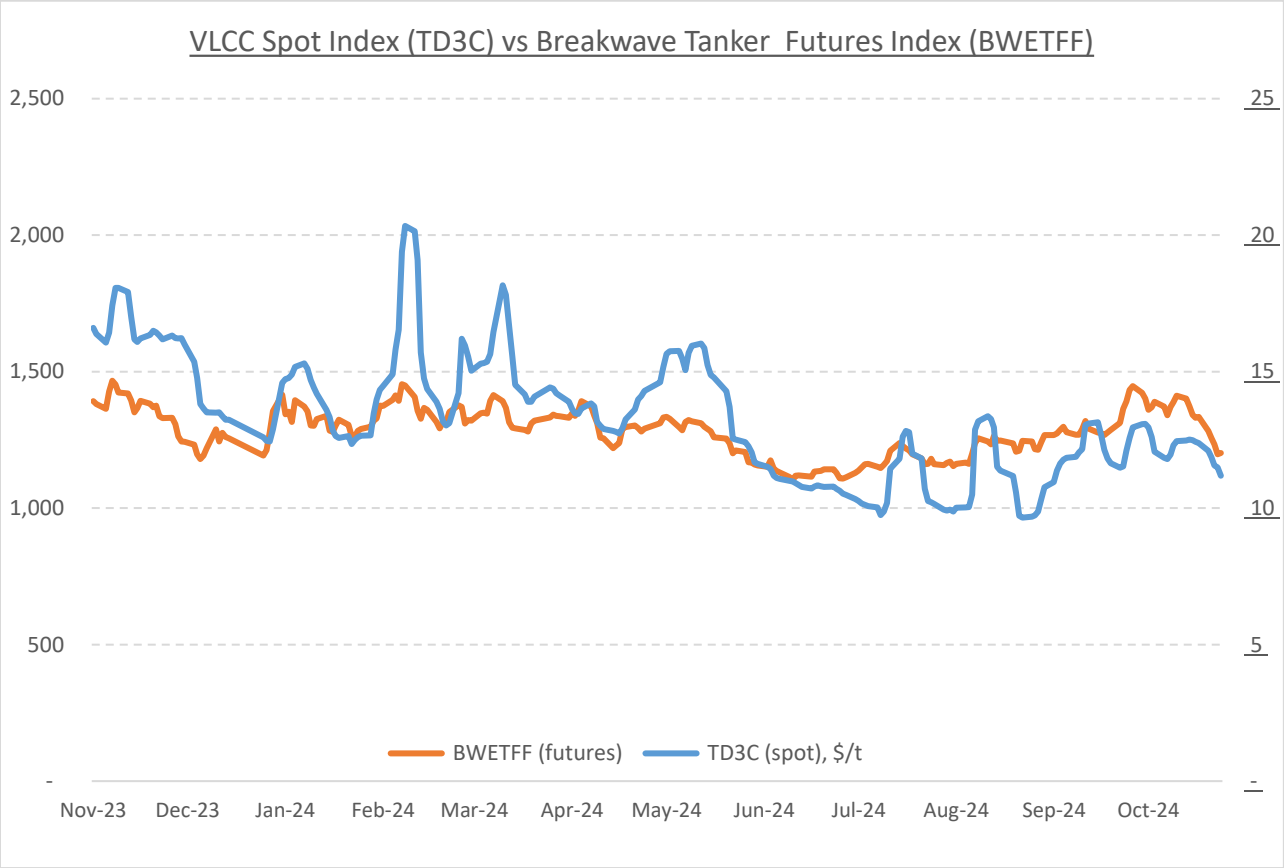
Bi-Weekly Report

- **VLCC Market Sees Unseasonal Downturn Amid Overcapacity and Rising Preference for Chinese Shipowners –** The VLCC (Very Large Crude Carrier) market is experiencing an **unusual downturn** for this time of year, marked by **low activity** and a **persistent drop** in rates across both Eastern and Western markets. Limited demand and high vessel availability continue to exert downward pressure on freight rates. In the East, as the month entered its second decade, a well-supplied tonnage list, combined with muted demand, kept rates under strain. While some market players are hopeful for a stabilization, the **growing list of available tonnage** and reports that Chinese charterers increasingly favor domestic vessels diminish the chances of a near-term rebound. This shift in **preference** by Chinese charterers **reduces options** for international owners, adding opacity to rate-setting as large oil traders wield greater influence. In West Africa, VLCC rates have followed a similarly negative trend. Here, sluggish demand and ample vessel availability have strengthened charterers' position, allowing them to exert further pressure on rates. **Operating expenses** now provide a **near-floor**, preventing rates from dropping even further, though market concerns over price levels persist. With **position lists at their highest level** of the year, owners face one of the **toughest rate environments in recent memory**. In the cyclical nature of freight markets, however, such **challenging periods seldom persist**, often **laying the groundwork for robust recoveries** once freight rates eventually rebound.

- **Once Again, OPEC+ Delays Production Increases as Oil Market Remains on Edge –** With ongoing **geopolitical** and **demand uncertainties** driving the oil market, volatility remains high, causing oil **prices to fluctuate** in response to daily news events. Despite this, the **oil market appears oversupplied** as we look ahead to **next year**, with a "risk premium" preventing further price declines which in turn might prompt potential "market-driven" supply cuts. We believe **OPEC+** will ultimately **introduce additional barrels** into the market, pushing prices into **contango**—a scenario that could **benefit the tanker market**, similar to the 2015-2017 cycle. Currently, tensions in the Middle East and a slow demand recovery from China are the primary influences on oil prices. However, we **anticipate that clearer insights** will emerge in the **coming months**, likely leading to a futures curve favorable to oil tankers as we approach next year. While the **fundamental outlook for oil prices remains challenging**, it is relative pricing that matters for tankers, not absolute price levels. Even with an unbalanced demand-supply picture, the potential for **oil traders to "lock" in tonnage**—if future prices exceed spot prices—should **support higher freight rates**, outperforming current expectations reflected in a rather flattish and unexciting freight futures curve.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,390 kbpd	0.9%
Oil Supply, OPEC	26,900 kbpd	-4.6%
Oil Supply, non-OPEC	68,630 kbpd	1.7%
OECD Total Crude Oil Stocks	1034.3 MMbls	0.3%
US Crude Oil Exports	33.6 MMbls	4.4%
China Oil Imports	412.4 MMbls	-2.8%
Global Crude Oil Floating Storage	51.4 MMbls	-28.0%

Supply		
Tanker Fleet	693.8 mdwt	0.9%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.92	-7.0%
Suezmax West Africa-Europe, USD/ton	17.53	-12.6%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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